Perhaps it was unfortunate that Mr Gokarn's term ended when it did. It appears to have made him an easy target. After all, the current government has not been shy of messing around with institutions—the RBI is just the latest addition to that list.'

Another mischievous, if also clumsy, attempt by the government to assault the autonomy of the Reserve Bank came by way of appointing the directors on the central board of the Bank. As per law, it is the government's prerogative to appoint the directors but the law also guarantees the directors so appointed a four-year term. In other words, the government cannot recall any director at will during the four-year tenure. Presumably, the intent behind this provision was to ensure that the directors acted independently without any threat of the government 'showing its displeasure' by terminating their appointment.

It has been the standard practice for the government to conform to the wording of the law with regard to the guaranteed four-year term. While appointing a fresh batch of directors in 2011, however, the government changed the wording in the notification to say: 'xxx is appointed as a Director on the Central Board of the Reserve Bank for a term of four years or *until further orders whichever is earlier* [emphasis mine].'

We were surprised by this change in wording. Maybe a clerical error, I thought. That didn't seem likely though as all they had to do was copy the standard wording of the previous notifications. Having worked in the government, I am aware of the power of precedents; breaking a precedent requires a clear application of mind. Here, someone in the government did apply his mind to incorporate a new provision so as to keep the directors on the board of the Reserve Bank on leash, not realizing that it was against the law. We pointed this out to the government and they issued an amendment to bring the wording back to the standard format. Yes, we held our ground, but it would have been better if the matter hadn't arisen at all.